

Service Provider Agreement (SPA)

This **Service Provider Agreement ("Agreement")** is entered into on _____
("Effective Date") by and between:

Saragus Partners LTD, a company registered in Israel with its principal place of business at Ariel Sharon 4,
Givatayim, operating under the brand **Nyyon** ("Provider"),

and

Palgey Maim, located at _____ ("Client").

The Provider and the Client are collectively referred to as the **"Parties."**

1. Services

The Client engages the Provider to perform the services described in **Annex A (Scope of Work)**.

This Agreement establishes the general commercial and legal framework under which the Provider may deliver services to the Client.

The Parties may initiate additional projects or expand the scope of work by executing written updates to **Annex A** or by attaching additional annexes describing the relevant services.

Unless explicitly stated otherwise in writing, all such annexes will be governed by the terms of this Agreement.

2. Independent Contractor Relationship

The Provider performs services as an **independent contractor**.

Nothing in this Agreement creates a partnership, joint venture, employment relationship, or agency relationship between the Parties.

The Provider retains full control over the manner and method used to perform the Services.

3. Intellectual Property

All intellectual property owned by the Client prior to the commencement of the Services remains the sole property of the Client.

Any materials created by the Provider specifically for the Client under this Agreement shall become the property of the Client upon full payment for the Services, unless otherwise specified in Annex A.

The Provider retains ownership of:

- its methodologies

- internal tools
- frameworks
- automation systems
- reusable code
- operational processes

to the extent such elements are used in providing the Services.

The Client receives a perpetual license to use the delivered work product for its intended business purposes.

4. Confidentiality

Each Party agrees to treat the other Party's confidential information as private and to use such information solely for the purposes of performing obligations under this Agreement.

Confidential information may not be disclosed to third parties without prior written consent, except where disclosure is required by law.

These obligations remain in effect during the term of this Agreement and for **one (1) year following termination**.

5. Fees and Payment

Fees for services will be defined in **Annex A**.

Unless otherwise stated:

- Payment terms are **50% upon project commencement** and **50% upon completion or delivery milestone**.
- Additional work outside the agreed scope may be billed at the hourly rate specified in Annex A.

Failure to pay invoices within **seven (7) days of due date** may result in suspension of ongoing work.

6. Project Changes

If the Client requests work outside the agreed scope, the Provider will notify the Client and provide an updated estimate.

Additional work will only proceed upon written confirmation from the Client.

7. Warranties

The Provider warrants that the Services will be delivered in a professional and workmanlike manner consistent with industry standards.

If delays occur, the Provider may extend delivery timelines by up to **fourteen (14) days** to complete the work.

Except as expressly stated in this Agreement, the Provider makes no additional warranties.

8. Limitation of Liability

To the maximum extent permitted by law, the Provider's total liability under this Agreement shall not exceed the total amount paid by the Client for the Services described in the relevant Annex.

The Provider shall not be liable for any indirect, incidental, special, or consequential damages.

9. Termination

Either Party may terminate this Agreement with **thirty (30) days written notice**.

If the Client terminates the Agreement after work has commenced, payments already made are **non-refundable**.

If either Party materially breaches the Agreement and fails to remedy the breach within **seven (7) days after written notice**, the other Party may terminate the Agreement immediately.

Upon termination, the Client will pay for all work completed up to the termination date.

10. Dispute Resolution

If a dispute arises, the complaining Party must provide written notice describing the issue.

The Parties will attempt to resolve the dispute in good faith within **fourteen (14) days**.

If the dispute cannot be resolved, it shall be submitted to **binding arbitration in Tel Aviv, Israel**, in accordance with the rules of the **Israel Institute of Commercial Arbitration (IICA)**.

11. Governing Law

This Agreement shall be governed by the laws of **Israel**.

The courts of **Tel Aviv, Israel** shall have exclusive jurisdiction over any legal matters arising from this Agreement.

12. Entire Agreement

This Agreement represents the entire understanding between the Parties regarding the Services.

It supersedes all prior agreements, discussions, or understandings related to the subject matter.

Any amendments must be made **in writing and signed by both Parties**.

Signatures

The Provider

Saragus Partners LTD (operating under the brand Nyyon)

Signature: _____

Name: _____

Title: _____

Date: _____

The Client

Signature: _____

Name: _____

Title: _____

Date: _____

Annex A: Scope of Work

Pilot Engagement (Proof of Concept) · AI Implementation for Palgey Maim

A1. Background and Objective

Palgey Maim is an engineering-design firm. The objective of this engagement is to identify a single workflow in which AI implementation yields a measurable time saving, and to deliver a working tool focused on that workflow, within a predefined timeframe and budget.

The engagement is structured as a Proof of Concept (POC): a short, measurable commitment that allows the Client to evaluate the business value and Nyyon's way of working before expanding the engagement.

A2. Approach

The engagement is delivered in four phases:

Phase 1. Champion Appointment

At the outset, the Client appoints a single senior point of contact (the "Champion") for the engagement: the person Nyyon works with throughout the process, who participates in key decisions and receives the deliverable and training at handoff. A single point of contact ensures fast decision-making, knowledge continuity, and successful adoption of the tool at the end of the engagement.

Phase 2. Discovery (one business day, on-site)

Nyyon conducts a discovery workshop with the Champion and relevant stakeholders, maps the candidate workflows, and defines together with the Client the single highest-value project and its scope.

Phase 3. Development (two weeks)

Nyyon develops the tool on the Client's infrastructure, with regular check-ins with the Champion for status updates, progress review, and required adjustments throughout the period.

During the second week, an additional on-site day takes place at the Client's premises, with the tool installed and running on-prem, for hands-on experience and review by the Champion ahead of the final delivery.

Phase 4. Delivery and Handoff

Delivery of a working tool operating in the Client's environment to the Champion, accompanied by operational documentation and a handoff and training session. Work product transfers to the Client in accordance with Section 3 of this Agreement.

A3. Deliverables

- Solution Spec document (at the end of the Discovery phase)
 - One working tool, deployed and operational in the Client's environment
 - Operational documentation: operation, running, and maintenance
 - Handoff and training session for the Champion and the relevant team
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A4. Acceptance Criteria

The tool is deemed complete upon meeting the criteria defined in the Solution Spec at the end of the Discovery phase, and a successful demonstration of its operation in the Client's environment.

A5. Timeline

- Champion appointment: at the Effective Date
 - Discovery: one business day, scheduled
 - Development: up to 10 business days from completion of Discovery
 - On-site review day: during the second week of Development, with the tool running on-prem
 - Delivery: upon completion of the Development phase
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A6. Out of Scope

The engagement is focused on a single tool. It does not include: development of additional systems or tools, integrations not defined during Discovery, large-scale data migration, ongoing support or a service level agreement (SLA) after handoff, and third-party software licensing (see A8). Extensions are handled as scope additions in accordance with Section 6 of this Agreement.

A7. Client Responsibilities and Assumptions

- Provision of access to systems, data, and stakeholders required to perform the Services
 - Appointment of a Champion and their availability as the point of contact throughout the engagement
 - Opening third-party service accounts (Anthropic, Cloudflare) in the Client's name, or authorization to set them up
 - Timely decisions and feedback, to meet the timeline
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A8. Third-Party Licensing and Infrastructure

Licensing and infrastructure components are billed at cost, directly to the Client and in the Client's name, with no markup by Nyyon. Initial estimate, to be refined at the end of the Discovery phase once usage volume is defined:

- Claude (Anthropic): approximately \$100 one-time (development phase); approximately \$20 to \$200 per month ongoing, depending on usage volume.
 - Cloudflare: no base cost; approximately \$5 to \$25 per month.
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A9. Fees and Payment

- Pilot (Proof of Concept) fee: **NIS 9,000 plus VAT**.
 - Includes: discovery, development, delivery, and training.
 - Payment terms: 50% upon commencement, 50% upon delivery (in accordance with Section 5 of this Agreement).
 - Third-party licensing and infrastructure costs (A8) are separate and billed at cost.
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A10. Path to Ongoing Engagement

Upon completion of the pilot, and subject to its results, Nyyon offers an ongoing AI implementation engagement across the company: development of additional tools, advisory, and training, at a scope and rate to be defined in a dedicated annex. The Proof of Concept serves as a measurable basis for defining the continuation.